

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-07

Impact Products, LLC *et al.* v. CMA CGM S.A.

**RESPONDENT CMA CGM S.A.'S
REPLY IN SUPPORT OF ITS MOTION TO DISMISS**

Respondent CMA CGM S.A. (“Respondent” or “CMA”), by counsel, pursuant to 46 C.F.R. 502.69 and 502.70, for its Reply in Support of its Motion to Dismiss States as follows:

SUMMARY

The Shipping Act governs disputes between parties directly named in the contract of carriage, and the Complainants’ claims fail because the service contracts at issue, between Laufer and CMA, cannot be assigned without CMA’s consent. Complainants incorrectly contend that their claims are not barred by the service contracts because, in their view, they took an assignment of a cause of action, not a contract right. The distinction is irrelevant, since a cause of action cannot assert a contract right that was never assignable in the first place. Here, any right to repayment of charges under the service contracts necessarily arose from those contracts—without which there would have been no charge—and is therefore an unassignable *contract right*, regardless of the cause of action. The fact that the Shipping Act provides a vehicle for asserting that right does not change the analysis, nor do any of the cases Complainants cite. And, of course, CMA’s contract language does not prevent a remedy if one is warranted; it merely prevents unknown parties from attempting to obtain that remedy, like here. Complainants also cannot circumvent the direct purchaser rule by arguing that they are the parties who ultimately paid the charges, as this Commission has repeatedly rejected that type of pass-through argument. Their

attempt to conflate scheduling issues with the timing of CMA's Motion to dismiss is likewise misplaced, and their case should be dismissed.

ARGUMENT

I. The Shipping Act limits claims to parties in the contract of carriage, and the anti-assignment provision bars right to repayment.

The Shipping Act provides the legal framework for resolving disputes between parties involved in contracts of carriage, specifically service contracts and bills of lading, which together form the basis for claims brought before the FMC. *See* 46 U.S.C. § 40101; 46 CFR 501.2. This framework restricts who can bring claims under the Shipping Act to those directly named in the contract of carriage, such as ocean common carriers and shippers who are parties to these agreements. *See California Shipping Line Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990). Here, the contracts of carriage (both the service contracts and the bills of lading) were between Laufer and CMA, not the Complainants. Nonetheless, Complainants claim that Laufer has assigned its rights under the relevant contracts of carriage to Complainants, entitling them to bring this action. As discussed herein, this position necessarily fails because these contracts of carriage cannot be assigned without CMA's consent, which was not obtained.

Further, Complainants are wrong that their Assignment of Claims from Laufer assigned a right to bring a cause of action and not Laufer's rights under the service contracts.¹ The difference between assigning a cause of action and a contract right is irrelevant here, since Complainants are attempting to enforce a contractual right to repayment which cannot be assigned. The fact that

¹ For reasons already explained in the Motion to Dismiss, Complainants are also incorrect that the language of their assignment document assigned anything related to the underlying shipments.

Complainants are using the Shipping Act as a vehicle for enforcing that right does not change the nature of the right as a right under the service contracts.

Any right to repayment from CMA necessarily arises under the service contracts, because those contracts are the basis for the charges in the Complaint. Under the language of the anti-assignment provision, any right arising under the contract, including a right to repayment from CMA, may not be assigned without the written consent of CMA regardless of the cause of action. CMA did not give any such consent and the assignment to Complainants is barred by the anti-assignment provision.

The cases Complainants cite in their Opposition do not change the conclusion that the anti-assignment provision prohibits the assignment of any right to repayment. Complainants cite to two cases where an assignment was permitted between a direct purchaser and a complainant who had an intimate business relationship with one another, but this type of business relationship is notably absent between Laufer and Complainants. In *Adenariwo v. BDP International*, for example, the complainant was the owner and shareholder of the entity that was the direct purchaser and had direct injury from the respondent's conduct. 2012 FMC LEXIS 42, Informal Doc. No. 1920(I) (FMC Apr. 18, 2012). Similarly, in *Rohm & Haas Company*, the complainant was the parent company to the subsidiary who was directly involved in the contract. 21 S.R.R. 212, 215-216 (FMC Nov. 13, 1981). Neither mentions an anti-assignment provision.

Complainants also cite an initial Commission decision that merely takes note of the general rules regarding assignment and does not involve an anti-assignment provision. *In Re: Vehicle Carrier Services*, 1 F.M.C.2d 45 (FMC May 7, 2018). The discussion of assignment does not appear again in later decisions in that matter. What is more, the final decision in that matter supports CMA's argument that Complainants are not direct purchasers. *See In re Vehicle Carrier*

Services, 1 F.M.C.2d 440, 445 (FMC Oct. 21, 2019) (holding “the Commission has ruled that only the party who actually paid the carrier (or *the valid assignee* of the payor) can sue for reparations) (emphasis added). Here, Complainants cannot be valid assignees of Laufer’s rights due to the anti-assignment provision.

Complainants also mistakenly attempt to rely on their own previous cases as permitting assignments of the right to repayment. *Impact Products, LLC, et al. v. Lihua Logistics Company Limited, LLHP*, FMC 24-06, Doc.15 (May 24, 2024), *Impact Products, LLC, et al. v. COSCO Shipping Lines Co., Ltd.*, FMC 24-09, Doc. 13 (May 24, 2024), and *Impact Products, LLC, et al. v. Orient Overseas Container Line Limited, et al.*, FMC 24-08, Doc. 14 (June 3, 2024). In the instant matter, there is a major difference; the carriers in those cases did not argue the existence of an anti-assignment provision like in the service contracts here, nor did the carriers raise any objections to the assignments. Moreover, in each of those cases, the Complainants recognized that the direct purchaser rule barred their recovery and proactively moved to amend their complaints to address those issues. No such amendment has been made in this case, nor should Complainants be allowed to do so as any amendment would be futile.

Even Complainants’ caselaw dealing with anti-assignment provisions does not remedy the problem here. The anti-assignment cases Complainants cite in their Opposition hold only that an anti-assignment provision does not bar the assignment of a cause of action under state laws in California and Texas that contradict the general maritime law for service contracts. *See Gottlieb v. Alphabet Inc.*, 2018 WL 2010976, at *4 (N.D. Cal. Apr. 30, 2018); *Creditors Adjustment Bureau, Inc. v. IBT Media Inc.*, 2019 WL 3082845, at *2 (N.D. Cal. July 15, 2019); *1901 Gateway Holdings, LLC v. CentiMark Corp.*, 2024 WL 665701, at *6 (N.D. Tex. Feb. 16, 2024). None of

them involves a right to repayment arising under a contract in combination with an anti-assignment provision. Thus, none of the Complainants' cases mirror the circumstances of this case.

The general rule for shipping service contracts under maritime law is that rights arising under a contract are not assignable unless the contract expressly permits it. *See California Shipping Line Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC Oct. 19, 1990). To rule in favor of Complainants' assignment would effectively flip the general rule in favor of assignability and permit future complainants to work around the well-settled direct purchaser rule, even when contracting parties have taken precautions to prevent that result.

II. Complainants incorrectly interpret the direct purchaser rule.

Complainants contend that the direct purchaser rule typically applies to cases involving multiple consumers far removed from the distribution chain, unlike this case. However, the direct purchaser rule has no requirement regarding the number of parties needed for it to apply. "Under the direct purchaser rule, *only the party who actually paid the carrier can sue for reparations* for an overcharge, *not indirect purchasers further down the chain.*" *See TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 at *7 (FMC Dec. 29, 2022) (emphasis added).

Indeed, the Commission has applied the direct purchaser rule in cases where there are not large numbers of parties involved. In *Ovchinnikov, et al. v. Hitrinov, et al.*, for example, the Commission dealt with a similar chain of distribution and held that the complainants could not recover because they had purchased the vehicles at issue from a third party, and the third party had been the one to pay respondent. 2023 WL1963462 at * 12 (FMC Feb. 8, 2023). *Ovchinnikov* is like the case at hand: the complainants alleged reparations for violations of the Shipping Act but could not prove such reparations were owed by the respondent because a third party, and not the complainants themselves, paid the respondents. The same is true here.

Complainants are also wrong that their payments to Laufer get them around the direct purchaser rule. This argument is merely a reiteration of the pass-on theory that this Commission has continuously overruled. For instance, in *In re Vehicle Carrier Services*, the Commission stated “direct purchaser status is not determined based on which party sustained the harm.” 1 F.M.C.2d 440, 454 (FMC Oct. 21, 2019). In fact, “the Commission has repeatedly found that a complainant cannot rely on a pass-on theory to recover reparations for overcharges.” *Id.* at 446. Further, in explaining the origin of the direct purchaser rule, the Commission noted “the law does not inquire beyond the ‘first step’ of the parties’ transaction in arranging for transportation.” *Id.*, citing *Southern Pacific Co. v. Darnell Taenzer Lumber Co.*, 245 U.S. 531, 534 (1918).

Thus, Complainants argument that they were the ones ultimately responsible for paying the charge does not change the fact that Complainants were not the direct purchaser.

III. Complainants erroneously relate the discovery timeline to the Motion to Dismiss.

CMA’s efforts to collaborate on discovery have nothing to do with its Motion to Dismiss. Complainants argue that CMA’s intention in agreeing to a discovery extension was to gain time to prepare its Motion to Dismiss, leaving Complainants with an incomplete record for their opening brief. *See* Compl. Resp. in Opp. p. 2. This is not true, and Complainants point to nothing in discovery that could possibly cure their direct purchaser status anyway.

Under 46 C.F.R. 502.69(a), a party may file a dispositive motion anytime “[a]fter the assignment of a presiding officer to a proceeding and before the issuance of his or her recommended or initial decision. . .” Nothing in 46 C.F.R. 502.69 or 46 C.F.R. 502.70 requires that a motion to dismiss be filed at a specific time relevant to discovery. Instead, wide latitude is given for filing such motions, specifically, any time before a decision is made by the presiding officer. Here, CMA properly and timely filed its Motion to Dismiss.

CONCLUSION

For all these reasons, CMA respectfully requests that the Commission dismiss the Complaint in this case with prejudice.

Dated: September 19, 2024

Respectfully submitted,

/s/ K. Barrett Luxhoj

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CERTIFICATE OF SERVICE

I certify that on the 19th day of September 2024, a true copy of the foregoing was served by electronic mail on all counsel of record as follows:

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